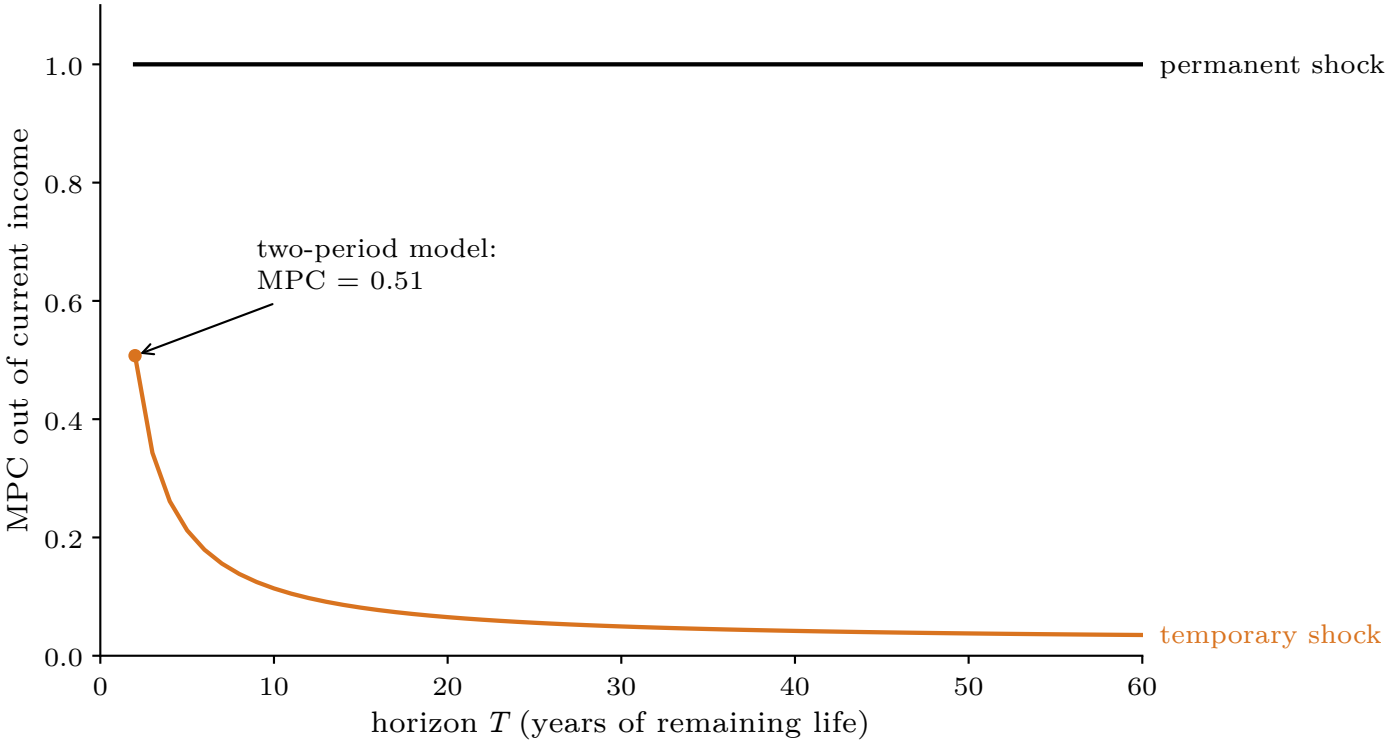

Fig. 6: With $\beta(1+r)=1$ and $r = 3\%$, a temporary windfall is spread over the whole horizon: the longer the horizon, the lower the MPC. A permanent rise in income is consumed one for one.